# NEWS RELEASE

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**Canada Bread Reaches Agreement to Sell its Fresh Prepared Sandwich & Distribution Business to Premium Brands**

Toronto, Ontario – February 14, 2011 **…** Canada Bread Company, Limited (TSX: CBY) today announced it has reached a definitive agreement to sell its fresh prepared sandwich business to Premium Brands Holding Corporation (TSX:PBH). The transaction is expected to close on February 18, 2011, subject to normal closing conditions.

"This sale will allow us to concentrate our resources and management focus on growth in our core fresh bakery and pasta businesses," said Richard Lan, President and CEO, Canada Bread. "We will also benefit from an ongoing supplier relationship with Premium Brands."

The fresh prepared sandwich business includes three facilities: a production facility in Etobicoke, Ontario and another in Gatineau, Quebec as well as a distribution centre in Laval, Quebec. On a combined basis they employ approximately 280 people. The fresh prepared sandwich business and distribution network services customers, including grocery, convenience, gas station and other retail outlets, throughout Ontario and Quebec.

Upon completion of the sale, Premium Brands will maintain a strong relationship with Canada Bread and Maple Leaf Consumer Foods, which will supply bakery and deli meat products for the sandwich business operations.

Canada Bread Company Limited, which is 90% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2009 sales of $1.7 billion and employs approximately 8,000 people at its operations across North America and in the United Kingdom.

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